

9. In the long run, the stock market indexes fluctuate around the long-term upward trend of earnings per share.
 10. In free-enterprise nations, the earnings on stock market indexes fluctuate around the replacement book value of the shares of the index.
 11. If you buy the same securities as other people, you will have the same results as other people.
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It is impossible to produce a superior performance unless you do something different from the majority.

12. The time to buy a stock is when the short-term owners have finished their selling, and the time to sell a stock is often when short-term owners have finished their buying.
13. Share prices fluctuate much more widely than values. Therefore, index funds will never produce the best total return performance.
14. Too many investors focus on "outlook" and "trends." Therefore, more profit is made by focusing on value.
15. If you search worldwide, you will find more bargains and better bargains than by studying only one nation. Also, you gain the safety of diversification.
16. The fluctuation of share prices is roughly proportional to the square root of the price.
17. The time to sell an asset is when you have found a much better bargain to replace it.
18. When any method for selecting stocks becomes popular, then switch to unpopular methods. As has been suggested in "Maxim 3," too many investors can spoil any share-selection method or any market-timing formula.